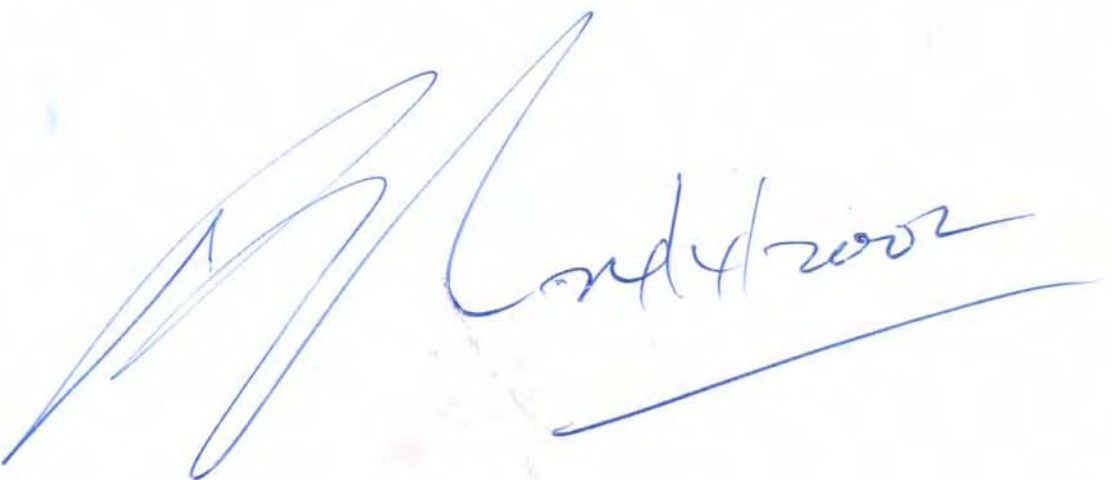




ANNUAL REPORT AND ACCOUNTS 2001

A large, stylized handwritten signature in blue ink, followed by the date 'end 4/2002' written in a cursive script.

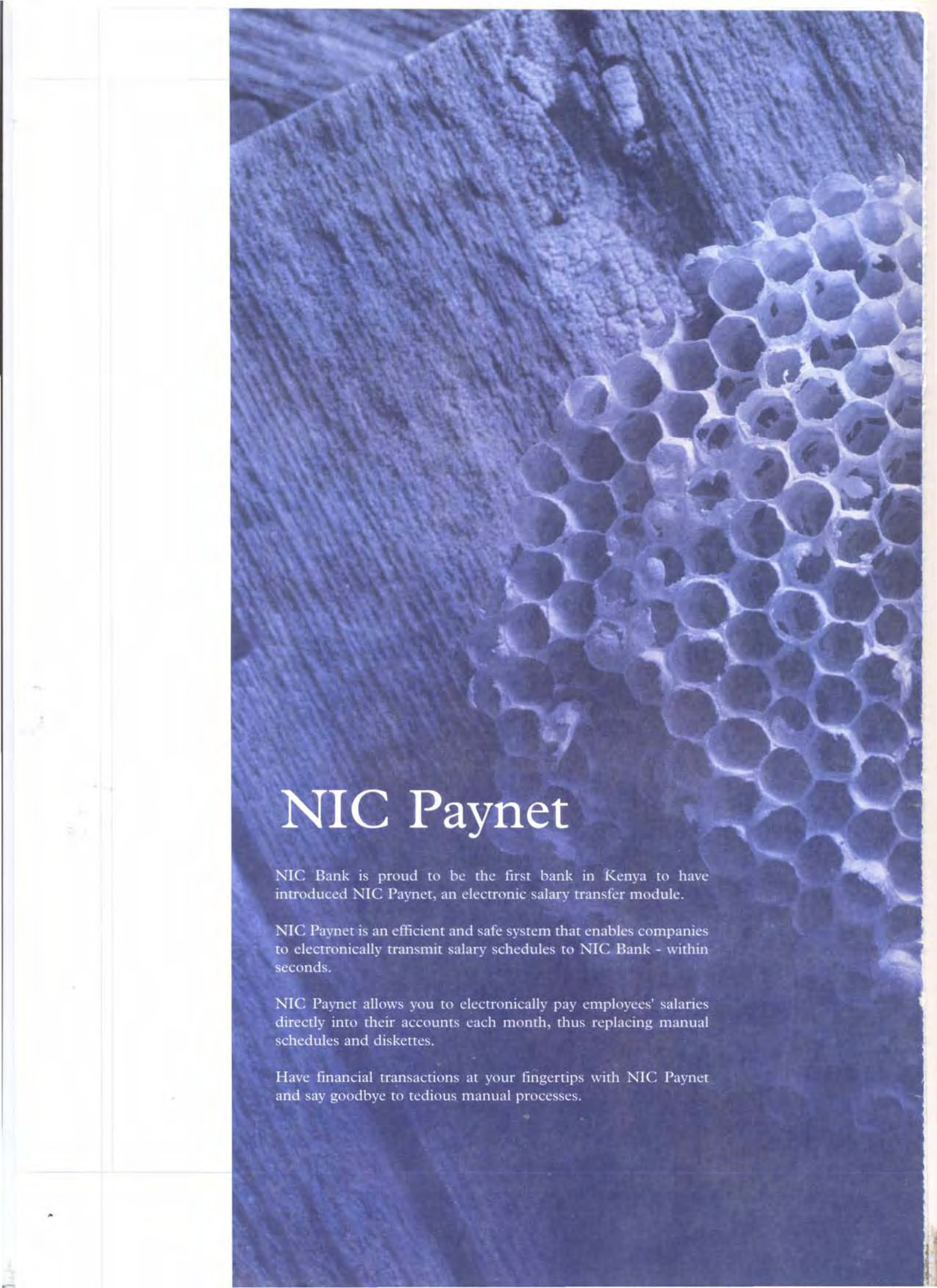
NIC Tradenet

In December 2001, NIC Bank launched a new e-Banking service named NIC Tradenet. NIC Tradenet is a fast and effective system that enables companies to electronically transmit payments to NIC Bank - within seconds.

Some of the payments that can be made through this system include: Dividends, Pensions, Insurance claims, Invoices and other trade payments.

NIC Tradenet allows you to manage your payments through electronic transfers, eliminating the costly origination and processing of cheques and reducing fraud.





NIC Paynet

NIC Bank is proud to be the first bank in Kenya to have introduced NIC Paynet, an electronic salary transfer module.

NIC Paynet is an efficient and safe system that enables companies to electronically transmit salary schedules to NIC Bank - within seconds.

NIC Paynet allows you to electronically pay employees' salaries directly into their accounts each month, thus replacing manual schedules and diskettes.

Have financial transactions at your fingertips with NIC Paynet and say goodbye to tedious manual processes.

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DIRECTORS

N Muriuki Mugwandia - Chairman
M N Davidson* - Managing Director
R A Bird*
F M Mbiru
F N Mwanzia
A S M Ndegwa
I Ochola-Wilson
M L Somen

* British

AUDIT COMMITTEE

R A Bird
F M Mbiru
F N Mwanzia

SECRETARY

L Murage

REGISTERED OFFICE

NIC House
Masaba Road
P O Box 44599
Nairobi

REGISTRARS AND TRANSFER OFFICE

Barclays Advisory and Registrar Services Ltd.
P O Box 30120
Nairobi

AUDITORS

Deloitte & Touche
"Kirungii", Ring Road, Westlands
P O Box 40092
Nairobi

INTERNATIONAL CORRESPONDENT BANKS

ABN-AMRO Bank, N.V.
HSBC Group
Deutsche Bank
Citibank N.A., New York

Welcome to the Annual Report and Accounts of NIC Bank for the financial year ended 31 December 2001.

Results

Profit before tax declined to Kshs 377 million compared to Kshs 451 million in 2000. This performance is considered strong given the adverse economic conditions prevailing in 2001.

The drop in profit is mainly a reflection of reduced interest income, which is the bank's main source of revenue, due to lower interest rates and finer margins, and depressed performance of traditional hire purchase business. In addition, a very prudent stance on provisioning was adopted to protect the bank against the effects of pervasive harsh economic conditions on the bank's assets and declining values in securities held.

Our strategy of attracting profitable quality business is bearing fruit with good progress continuing to be recorded in the commercial banking loans and advances sector. Net advances to customers have in fact risen by 4% during the year.

New business has been generated from the Insurance Premium Financing facility and asset finance for motor vehicles is beginning to show signs of recovery, benefiting from intensified marketing and closer co-operation with our partners in the motor industry.

A very important achievement for the bank during 2001 has been fundamental growth in the deposit base. With an improved mix of local and foreign currency business and expansion of the current account base, customer deposits reached a level of KShs.5.6 billion at 31 December 2001, 18% higher than the previous years figure of KShs.4.7 billion. Significantly, interest expense alongside other operating costs, was very well controlled.

Dividend

As many of the bank's shareholders will recognise, the bank's dividend policy has been upheld consistently over the years. For the year 2001, the directors will be recommending a dividend of 32%, that is, a distribution of KShs.131 million representing 52% of profit after tax. Last year's dividend of 36% was a distribution of KShs.148 million or 47% of post tax profit.

Shareholders' funds now stand at KShs.2.4 billion (KShs.2.3 billion in 2000), ensuring that NIC Bank remains among the strongest banks in Kenya according to this measure. Our capital adequacy ratio of 41% is well above the Central Bank of Kenya minimum requirement and we continue to seek and enjoy favourable credit ratings from internationally recognised credit rating agencies.

Business development progress

During the year sustained energy was directed to diversification of the bank's business base, product and service development, and active "cross-selling" of all the bank's products. Following successful introduction of the Insurance Premium Financing facility, the bank has launched Custodial Services to cater for pension schemes, a major source of investment funds in the Kenyan economy. Both these areas are expected to make an increasingly significant contribution in the coming years to the expansion of the target customer base and revenue streams.

Introducing new avenues of business is both an exciting and demanding process for the bank, entailing product research, acquisition of technology, resource dedication and training, and intensive marketing. It has the added effect of positioning the bank to compete at new levels within the financial services sector.

During 2001, NIC Bank was among the first banks in Kenya to introduce electronic business solutions that, through products including 'Paynet' and 'Tradenet', bring a new degree of sophistication to electronic financial transaction capability in our market. In addition, the bank has enhanced electronic reach by customers to include a web site. We believe that these initiatives help to demonstrate our commitment to being at the forefront of changing technology and service demands in order to meet customer needs and expectations.

Staff and Community

NIC Bank recognizes that commercial success depends on the full commitment of all employees and constructive support the bank can render to community initiatives.

Last year considerable emphasis was placed on staff skills development and performance, enabling the bank to fill some key management positions from internal resources. The bank was able to give financial and material support to a number of deserving charities including schools for hearing impaired children and for the treatment of blind children.

Board changes

Since the last Annual General Meeting, two of the bank's directors resigned from the board: Mr Alfred C Juma in August 2001 and Mr M N Githaiga in January 2002. Alfred Juma gave long and dedicated service to the bank and Mr Githaiga was instrumental in developing the bank's corporate team. We thank each of them for their contribution and wish them the very best in their future endeavours.

Outlook

Achieving profitable growth will remain a major challenge for the bank given intense competition and economic stagnation. Your directors believe, however, that the bank is well placed to benefit from its specific strategies focussing on selective targeting of quality business, product diversification and marketing, vigilant risk management, electronic solutions and enhanced staff competence.

It has to be pointed out that the degree of success deriving from these initiatives is sensitive to external factors including the climate of political transition in 2002, and the ultimate outcome and implications of the continuing debate over the Central Bank of Kenya (Amendment) Act 2000.

Tribute

In closing my remarks, I wish to thank all our customers and depositors for their continuing support and confidence in the bank. I also wish to pay tribute to our staff at all levels, for their hard work and contribution to the bank's performance during the year. Finally, I wish to extend my gratitude to my fellow directors, for their guidance and support.

N Muriuki Mugwandia

Karibuni kwenye Taarifa ya Mwaka na ya Hesabu za NIC kwa mwaka uliomalizikia tarehe 31 Desemba 2001.

Matokeo

Faida kabla ushuru ilipunguka hadi Kshs milioni 377 ikilinganishwa na Kshs Milioni 451 mwaka 2000. Tukizingatia hali mbaya za uchumi hapo mwaka 2001, matokeo haya yanachukuliwa kuwa imara.

Ushukaji huu wa faida zaidi unaangazia upunguaji wa pato la riba, ambalo ndilo msingi mkubwa wa mapato, kutokana na viwango vya chini vya riba na wastani wa mapato, na hali duni ya biashara ya ununuzi wa kwa malipo ya pole pole. Isitoshe, msimamo wa busara kuhusu masurufi ulitumiwa ili kuilinda benki kutokana na hali ngumu za kiuchumi kwenye mali za benki na ushukaji thamani wa dhamana tulizo nazo.

Mbinu yetu ya kuzivutia biashara zenye hadhi ya juu inaleta mafanikio huku mazao mazuri yakipatikana kwenye mikopo ya benki ya biashara na sekta ya mikopo midogo-midogo. Kwa kweli, jumla ya mikopo midogo kwa wateja imeongezeka kwa asilimia 4 hapo mwakani.

Biashara mpya imeibuka kwenye kifaa cha Kulipia Ada za Bima na rasilimali za kulipia ununuzi wa magari inanza kuonyesha dalili za kuinuka upya, ikifaidika kutokana na uimarishwaji wa matangazo na uhusiano wa karibu zaidi na wenzetu walioko kwenye tasnia ya magari.

Fanikio kubwa zaidi kwa benki mwaka 2001 limekuwa ni ukuaji muhimu katika msingi wa akiba. Kukiwa na mchanganyiko ulioimarika kwenye biashara ya humu nchini na ya fedha za kigeni na upanuzi wa msingi wa akiba za cheki, akiba za wateja zilifikia kiwango cha Kshs. Bilioni 5.6 kufikia tarehe 31 Desemba 2001, asilimia 18 juu zaidi ya kiasi cha mwaka uliotangulia cha Kshs. Bilioni 4.7. Muhimu zaidi, tumizi la riba sambamba ya gharama nyingine za kikazi, zilisimamiwa vizuri sana.

Mgawo

Kama wengi wa wenyehisa wa benki watatambua, sera ya benki ya mgawo imezingatiwa imara kwa miaka. Kwa mwaka 2001, wakurugenzi wataupendekeza mgawo wa asilimia 32, yaani, ugawaji wa Kshs. Milioni 131 ukiwakilisha asilimia 52 ya faida baada ushuru. Mgawo wa mwaka uliopita wa asilimia 36 ulikuwa ni ugawaji wa Kshs. Milioni 148 au asilimia 47 ya faida baada ushuru.

Hazina ya wenyehisa sasa ni Kshs. Bilioni 2.4 (mwaka 2000 Kshs. Bilioni 2.3), ikihakikisha kwamba Benki ya NIC ni baadhi ya benki imara zaidi nchini Kenya kulingana na kipimo hiki. Uwiano wetu wa asilimia 47 wa utoshelezaji wa rasilimali umepita kwa mbali mahitaji ya chini ya Benki Kuu ya Kenya na tunaendelea kuzitafuta na kuzifurahia hadhi nzuri za mashirika yanayotambulika kimataifa.

Maendeleo ya ukuaji wa biashara

Hapo mwakani nyenzo zaidi zilimilikiwa upanuzi wa msingi wa kuendeleza biashara ya benki, bidhaa na huduma, na utangazaji kabambe wa bidhaa zote za benki. Kufuatia mafanikio ya uanzishwaji wa kifaa cha Ulipiaji wa Ada za Bima, benki imeadhimisha Huduma za Uangalizi ili kufaidi mipango ya malipo ya uzeeni, kiini muhimu cha hazina za rasilimali katika uchumi wa Kenya. Maeneo haya mawili yanatarajiwa kuchangia kikamilifu upanuzi unaotarajiwa wa msingi wa wateja na mapato kwa miaka ijayo.

Kuanzisha nyanja mpya za biashara ni mtindo unaochangamsha na wenye makabiliano makubwa kwa benki, ukihataji utafiti, upataji wa teknolojia, utengaji wa rasilimali na mafunzo, na utangazaji mwingi. Na inayo nyongeza zaidi ya kuweka benki kwenye ushindani wa vima vipya katika sekta ya huduma za fedha.

Mnamo mwaka 2001 Benki ya NIC ilikuwa katika baadhi ya benki ya kwanza nchini Kenya kuanzisha ufumbuzi wa biashara kiumeme ambao, kupitia bidhaa pamoja na 'Paynet' na 'Tradenet', zinaleta hadhi za ustaarabu kwenye shughuli za kibiashara ya fedha za kiumeme katika soko letu. Isitoshe, benki imeimarisha mawasiliano ya kiumeme na wateja kukiweko na eneo maalum kwenye mtandao wa kompiuta. Tunaamini kwamba juhudi hizi zinasaidia kuonyesha kujitolea kwetu ili kuwa mbele katika mahitaji ya teknolojia na huduma zinazobadilika ili kukidhi mahitaji na matarajio ya wateja wetu.

Wafanyikazi na Jumuiya

Benki ya NIC inatambua kwamba mafanikio ya kibiashara yanategemea kujitolea kamili kwa wafanyikazi wote na usaidizi unaofaa ambao benki inaweza kutoa kwa juhudi za umma.

Mwaka uliopita mkazo mkubwa ulitiliwa kwenye maendeleo ya maarifa na utekelezaji wa wafanyikazi, ikiwezesha benki kujaza nafasi muhimu za mameneja kutoka ndani ya benki. Benki iliweza kusaidia kwa hali na mali idadi ya mashirika ya misaada inayostahili ikiwa ni pamoja na shule za watoto viziwi na matibabu ya watoto vipofu.

Mabadiliko Halmashauri

Tangu kikao cha mwisho cha Mkutano Mkuu, wawili kati ya wakurugenzi wa benki walistaafu kutoka kwenye halmashauri: Bw Alfred C Juma mnamo mwezi wa Agosti 2001 na Bw M N Githaiga mnamo mwezi wa Januari 2002. Alfred Juma alihudumia benki kwa juhudi kubwa za miaka mingi na Bw Githaiga alihusika sana kwa kuendeleza timu ya shirika la benki. Tunawashukuru kila mmoja wao kwa mchango wao na kuwatakiya kila la heri katika usitawi wao wa siku za usoni.

Matarajio

Mafanikio ya ukuaji wa kifaida utaendelea kuwa changamoto kubwa kwa benki tukizingatia ushindani mkubwa na uzorotaji wa uchumi. Hata hivyo, Wakurugenzi wako wanaamini kwamba Benki iko katika hali nzuri kunufaika kutokana na mbinu zake kabambe zinazomulikia kwenye lengo maalum la hadhi ya biashara bora, upanuzi wa bidhaa na utangazaji, ukakamavu wa kudhibiti madhara, ufumbuzi wa kiumeme na muimariko wa ujuzi wa wafanyikazi.

Inafaa kueleza kwamba kiwango cha mafanikio kutokana na juhudi hizi yanahusishwa na mambo ya nje ikiwa ni pamoja na mpito wa hali ya kisiasa mwaka 2002, na hatima ya matokeo na madhara ya Kanuni ya Marekebisho ya mswada unaoendelea wa Benki Kuu ya Kenya mwaka 2000.

Shukrani

Kwa kumalizia, ningependa kuwashehenezea shukrani wateja wetu wote na wawekaji akiba kwa kuendelea kutuunga mkono na kwa imani yao katika benki. Pia ningependa kuwashukuru wafanyikazi wetu wa nyanja zote, kwa kujitolea kwao kikazi na kuchangia kwenye utekelezaji wa benki hapo mwakani. Mwishowe, nisingependa kuwasahau wakurugenzi wenzangu, kwa mwongozo na usaidizi wao.

N Muriuki Mugwandia

members of the board



N Muriuki Mugwandia



M N Davidson



F M Mbiru

R A Bird



A S M Ndegwa



I Ochola-Wilson

M L Somen



F N Mwanzia



A Gachukia, L Murage, E Kihara, J Kyula



G Mwangi, P Mwaniki, M Swan, L Njoroge, H Gichira

notice of annual general meeting

Notice is hereby given that the forty-second Annual General Meeting of shareholders will be held at the Amphitheatre, Kenyatta International Conference Centre, Harambee Avenue, Nairobi, on Wednesday 22 May 2002, at 11.00am for the following purposes:

1. To receive and consider the Financial Statements for the year ended 31 December 2001 and the Directors' and Auditors' Reports thereon.
2. To confirm the payment of the interim dividend of 12% paid on 15 October 2001 and to approve the payment of a final dividend of 20% on the paid up capital of Sh 412,072,755.
3. To approve the payment of fees to the Directors for the year ended 31 December 2001.
4. To note that Deloitte & Touche will continue in office as the Auditors by virtue of section 159(2) of the Companies Act (Cap.486) subject to Central Bank of Kenya approval in accordance with section 24(1) of the Banking Act (Cap.488) and to authorise the Directors to fix their remuneration.
5. To elect Directors:

In accordance with Articles 98, 99 and 100 of the Company's Articles of Association, the following Directors retire by rotation and being eligible, offer themselves for re-election:

- i) A S M Ndegwa
- ii) I Ochola-Wilson
- iii) M N Davidson

BY ORDER OF THE BOARD
L Murage

Secretary
P.O. Box 44599
Nairobi

12 April 2002

Note: A member entitled to attend and vote is entitled to appoint a proxy to attend and vote on his/her behalf. Such proxy need not be a member of the Company. To be valid, a form of proxy which is provided with this report, must be deposited at the Registered Office of the Company not less than 24 hours before the appointed time of the Meeting.

Inaarifiwa kwamba kikao cha arobaini na mbili cha Mkutano Mkuu wa Mwaka wa wenyehisa utaandaliwa ukumbi wa Amphitheatre, Kenyatta International Conference Centre, Harambee Avenue, Nairobi Jumatano tarehe 22 Mei 2002, saa tano asubuhi kwa madhumuni yafuatayo:

1. Kupokea na kukariri Taarifa za Fedha kwa mwaka uliomalizikia Desemba 31, 2001 na taarifa za Wakurugenzi na Wakaguzi hesabu zilizoko hapo.
2. Kuthibitisha malipo ya mgawo wa muda wa asilimia 12 uliolipwa tarehe 15 Oktoba 2001 na kuidhinisha malipo ya mgawo wa mwisho wa asilimia 20 kwenye rasilimali iliyolipwa ya Sh 412,072,755.
3. Kuidhinisha marupurupu ya Wakurugenzi kwa mwaka uliomalizikia Desemba 31, 2001.
4. Kuthibitisha kwamba kampuni ya Deloitte & Touche wataendelea na wadhifa wa ukaguzi hesabu kwa jinsi ya Fungu la 159(2) la Kanuni za Makampuni (Sehemu ya 486) na Kibali cha Benki Kuu ya Kenya kuambatana na Fungu la 24(1) la Kanuni za Mabenki (Sehemu ya 488) na kuwaidhinisha Wakurugenzi kupanga marupurupu yao.
5. Kuwachagua Wakurugenzi:

Kuambatana na Ibara za 98,99 na 100 za Sheria za Kushirikishwa Kampuni, Wakurugenzi wafuatao wanastaafu kwa zamu na kwa kuwa wanastahili, wamejitolea kuchaguliwa tena:

- i) A S M Ndegwa
- ii) I Ochola-Wilson
- iii) M N Davidson

KWA AMRI YA HALMASHAURI

L. Murage

Katibu

S.L.P. 44599

Nairobi

12 Aprili 2002

Fahamu: Mwanachama anayestahili kuhudhuria na kupiga kura anaweza kumteua mwakilishi wa kuhudhuria na kupiga kura kwa niaba yake. Si lazima mwakilishi huyo awe mwanachama wa kampuni. Ili ikubaliwe, fomu ya uwakilishi iliyoko kwenye ripoti hii, ni lazima ipelektwe kwenye Afisi Iliyoandikishwa ya Kampuni sio chini ya masaa 24 kabla ya wakati uliopangiwa wa Mkutano.

The directors have pleasure in presenting their report and the audited financial statements for the year ended 31 December 2001.

ACTIVITIES

The principal activities of the bank, which is licensed under the Banking Act, are the provision of banking, financial and related services.

RESULTS

	Sh '000
Profit before taxation	377,040
Taxation thereon	123,206
Profit after taxation	253,834
Dividends	131,863
Retained profit for the year	121,971

DIVIDENDS

An interim dividend of Sh 0.60 per share amounting to Sh 49,448,731 was paid to shareholders on 15 October 2001.

The directors recommend a final dividend of Sh 1.00 per share amounting to Sh 82,414,551 which, together with the interim dividend, represents 32% on the issued share capital for the year ended 31 December 2001.

SUBSIDIARY COMPANIES

The bank holds 25,000 ordinary shares in National Industrial Credit Trustees Limited which represents the total issued share capital of the company. It also holds 1,000,000 ordinary and 1,500,000 preference shares in Mercantile Finance Company Limited, representing the total issued share capital of the company, and 10,000,000 ordinary shares in The African Mercantile Banking Company Limited, also representing the total issued share capital of the company.

Because the amounts involved were insignificant, the directors are of the opinion that consolidation of the subsidiaries would be of no real value to the members.

DIRECTORS

The present members of the Board of Directors are shown on page 2.

A C Juma resigned on 15 August 2001 and M N Githaiga resigned on 10 January 2002.

In accordance with articles 98, 99 and 100 of the Articles of Association, A S M Ndegwa, I Ochola-Wilson and M N Davidson retire by rotation and, being eligible, offer themselves for re-election.

AUDITORS

Deloitte & Touche, having expressed their willingness, will continue in office in accordance with section 159 (2) of the Companies Act and subject to section 24(1) of the Banking Act.

BY ORDER OF THE BOARD

L Murage

Secretary

Nairobi

27 February 2002

Wakurugenzi wana furaha ya kuwasilisha taarifa yao na ya hesabu zilizokaguliwa kwa mwaka uliomalizikia tarehe Desemba 31, 2001.

SHUGHULI

Shughuli muhimu za benki, ambayo imeidhinishwa chini ya Kanuni za Mabenki, ni utoaji huduma za kibenki, kifedha na mambo yanayohusiana.

MATOKEO

Mapato kabla ushuru
Ushuru

Sh '000

377,040

123,206

Faida baada ushuru
Mgawo

253,834

131,863

Faida iliyohifadhiwa kwa mwaka

121,971

MGAWO

Mgawo wa muda wa Sh 0.60 kwa hisa ukijumlisha Sh 49,448,731 ulilipwa wenyehisa tarehe 15 Oktoba, 2001.

Wakurugenzi wanapendekeza mgawo wa mwisho wa Sh 1.00 kwa hisa, ukijumlisha Sh 82,414,551 ambao pamoja na mgawo wa muda, unawasilisha asilimia 32 kwenye rasilimali ya hisa zilizotolewa kwa mwaka ulioishia Desemba 31, 2001.

MAKAMPUNI MADOGO

Benki ina hisa za kawaida 25,000 kwenye Mdamana wa National Industrial Credit Trustees Limited ikiwasilisha jumla ya rasilimali ya hisa zilizotolewa za kampuni. Pia ina hisa za kawaida 1,000,000 na hisa maalum 1,500,000 za upendeleo kwenye kampuni ya Mercantile Finance Company Limited, ikiwasilisha jumla ya rasilimali ya hisa zilizotolewa za kampuni, na hisa za kawaida 10,000,000 kwenye benki ya The African Mercantile Banking Company Limited, pia ikiwasilisha jumla ya mtaji wa hisa zilizotolewa za kampuni yenyewe.

Kwa kuwa kiasi cha fedha kilichohusika si kikubwa, ni maoni ya Wakurugenzi kwamba kuunganishwa kwa hayo makampuni madogo hakutakuwa na maana yoyote kwa wanachama.

WAKURUGENZI

Wanachama wa sasa wa Halmashauri ya Wakurugenzi wameonyeshwa kwenye ukurasa wa 2.

A C Juma alistaafu kama mkurugenzi tarehe 15 Agosti 2001 na M N Githaiga alistaafu kama mkurugenzi 10 Januari 2002.

Kuambatana na Ibara ya 98, 99 and 100 ya Sheria za Ushirikishwaji, A S M Ndegwa, I Ochola-Wilson na M N Davidson wanastaafu kwa zamu na kwa kuwa bado wanastahili, wamejitolea kuchaguliwa tena.

WAKAGUZI HESABU

Deloitte & Touche wataendelea na wadhifa kuambatana na Sehemu ya 159 (2) ya Kanuni za Makampuni na kwa sharti ya Sehemu ya 24 (1) ya Kanuni za Mabenki.

KWA AMRI YA HALMASHAURI

L Murage

Katibu

Nairobi

27 Februari 2002

Company law requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the bank as at the end of the financial year and of the profit of the bank for that period. In preparing those financial statements, the directors are required to:

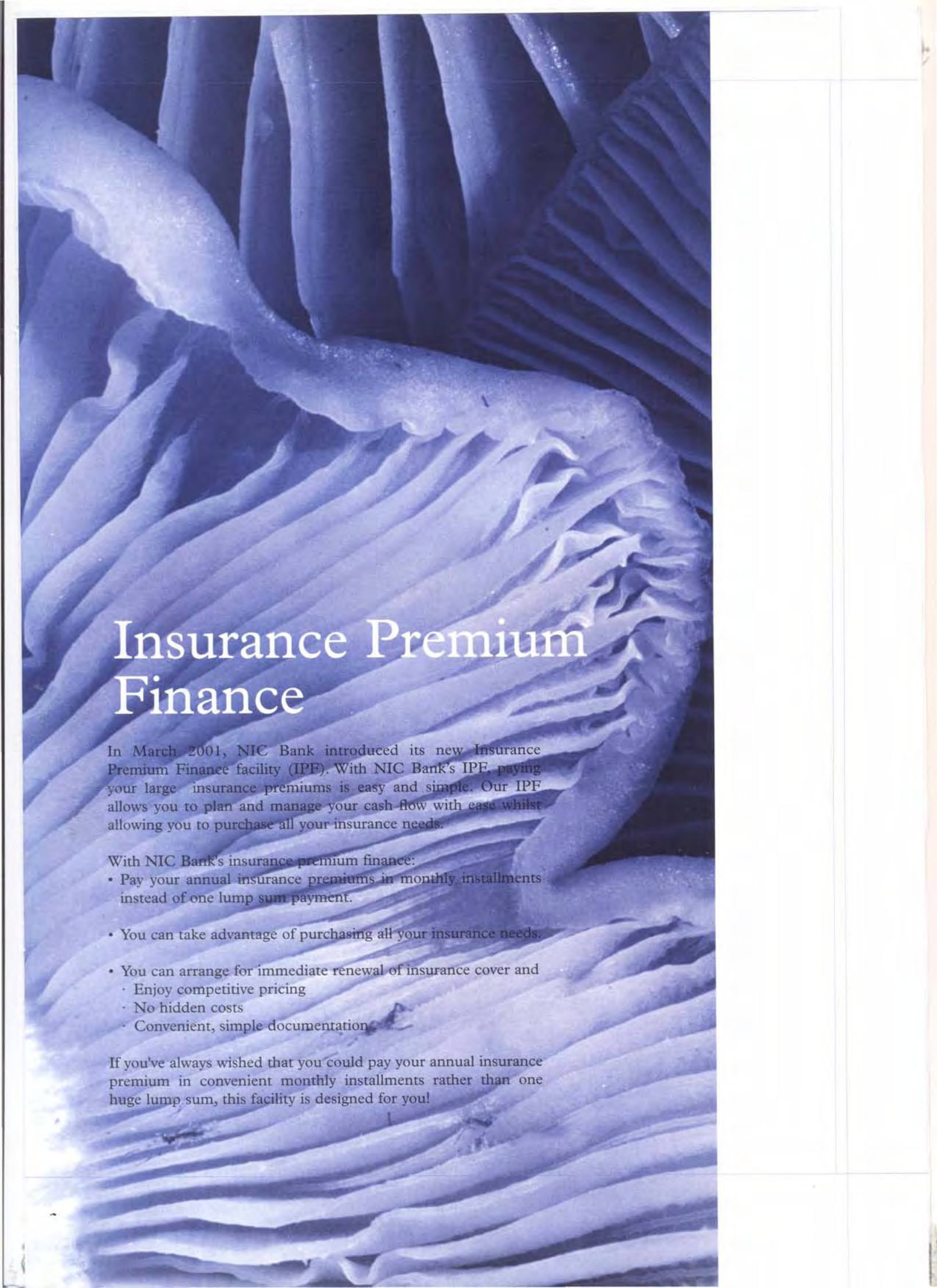
- Select suitable accounting policies and then apply them consistently;
- Make judgements and estimates that are reasonable and prudent;
- State whether applicable accounting standards have been followed;
- Prepare the financial statements on the going concern basis unless it is inappropriate to presume that the bank will continue in business.

The directors are responsible for keeping proper accounting records which disclose with reasonable accuracy at any time the financial position of the bank and to enable them to ensure that the financial statements comply with the Companies Act and the Banking Act. They are also responsible for ensuring compliance with Central Bank of Kenya directives and for safeguarding the assets of the bank and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Sheria za Makampuni zinawahitaji wakurugenzi watayarishe taarifa za fedha kwa kila mwaka wa fedha zenye mandhari ya ukweli na haki ya shughuli za Benki kwa kufikia mwisho wa mwaka wa fedha na ya faida ya benki kwa kipindi hicho. Kwa utayarishaji wa taarifa hizo, wakurugenzi wanahitajika:

- Kuichagua miongozo ifaayo ya uhasibu na kisha kuitumia kwa usawa;
- Kuyafanya maamuzi na makadirio yanayofaa na ya busara;
- Kueleza kama viwango vinavyofaa vya uhasibu vimetumika;
- Kuzitayarisha Taarifa za Fedha kwa misingi inayoendelea kutambulika isipokuwa pale isipofaa kukisia kwamba Benki itaendelea na biashara.

Wakurugenzi wanawajibika kuweka kumbukumbu sahihi za uhasibu zinazoelezea kwa uhakika unaostahili wakati wowote ule hali ya kifedha ya Benki na kuwawezesha kuhakikisha kwamba Taarifa za Fedha zinakabiliana na Kanuni za Makampuni na Kanuni za Mabenki. Pia wanawajibika kuhakikisha ukabiliano na muongozo wa Benki Kuu ya Kenya na kwa kulinda rasilimali za Benki na hivyo kwa kuchukua hatua zifaazo kwa uzuifu na ung'amujaji wa udanganyifu na makosa mengine.



Insurance Premium Finance

In March 2001, NIC Bank introduced its new Insurance Premium Finance facility (IPF). With NIC Bank's IPF, paying your large insurance premiums is easy and simple. Our IPF allows you to plan and manage your cash flow with ease whilst allowing you to purchase all your insurance needs.

With NIC Bank's insurance premium finance:

- Pay your annual insurance premiums in monthly installments instead of one lump sum payment.
- You can take advantage of purchasing all your insurance needs.
- You can arrange for immediate renewal of insurance cover and
 - Enjoy competitive pricing
 - No hidden costs
 - Convenient, simple documentation

If you've always wished that you could pay your annual insurance premium in convenient monthly installments rather than one huge lump sum, this facility is designed for you!

Custodial Services

In April 2001, NIC Bank was authorized and licensed by the Retirement Benefits Authority to provide custodial services.

This involves the storing and safekeeping of securities as well as maintaining accurate records of ownership for our customers.

NIC Bank offers such services to: Pension Funds, Provident Funds, Staff Retirement Benefits Schemes, Guaranteed Schemes and any other Pooled Funds or Schemes.

Our Custodial services include:

- Settlement
- Cash Management
- Safe Custody services
- Valuations / Reporting
- Corporate Actions
- Income Collection
- Inward and outward remittances
- Foreign Exchange conversion
- Registration
- Proxy Voting

Certified Public Accountants (Kenya)
"Kirungii"
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**Deloitte
& Touche**

We have audited the financial statements on pages 19 to 36 and have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purposes of our audit.

Respective responsibilities of directors and auditors

As described on page 13, the directors are responsible for the preparation of the financial statements. Our responsibility is to express an opinion on those financial statements based on our audit.

Basis of opinion

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements, assessing the accounting principles used and significant estimates made by the directors, and evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

Opinion

In our opinion, proper books of account have been kept by the company and the financial statements, which are in agreement therewith, give a true and fair view of the state of affairs of the company at 31 December 2001 and of its profit and cash flows for the year then ended in accordance with International Accounting Standards and comply with the Companies Act.

Deloitte & Touche

28 February 2002

**Deloitte
Touche
Tohmatsu**

Partners: D M Ndonge V M Allen* G K Fonderson** H Gadhoke* S O Onyango J W Wangai
British* Liberian**

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**Deloitte
& Touche**

Tumezikagua Taarifa za Hesabu kwenye kurasa za 19 hadi 36 na kuyapata maelezo yote na ufafanuzi ambao, kwa kadiri ya maarifa na kuamini kwetu, yalikuwa muhimu kwa minajil ya ukaguzi wetu.

Mamlaka binafsi ya wakurugenzi na wakaguzi

Kama ilivyoelezwa kwenye ukurasa wa 14, Taarifa za Fedha ni wajibu wa wakurugenzi. Wajibu wetu ni kutoa maoni yetu juu ya Taarifa za Fedha kutokana na ukaguzi wetu.

Msingi wa maoni

Tuliutekeleza ukaguzi wetu kuambatana na Viwango vya Kimataifa vya Ukaguzi. Viwango hivi vinatuhitaji tupange na kutekeleza ukaguzi ili tupate thibitisho linalofaa kwamba Taarifa zenyewe hazina upotofu wowote. Ukaguzi ni pamoja na uchunguzi, kwa misingi ya majaribio, ushahidi unaounga mkono kiasi cha pesa na ufichuo kwenye Taarifa za Fedha, makadirio ya maadili ya uhasibu yaliyotumika na makisio muhimu yaliyofanywa na wakurugenzi, na utathmini jumla wa uwasilishaji wa Taarifa za Fedha. Tunaamini kwamba ukaguzi wetu unatoa msingi wa maoni yetu usio na shaka.

Maoni

Kwa maoni yetu, vitabu sahihi vya uhasibu viliwekwa na Kampuni na Taarifa za Fedha, ambazo zinakubaliana navyo, zinatoa mandhari halisi ya shughuli za Benki kufikia tarehe 31 Desemba 2001 na za Faida na Pesa Taslimu kwa mwaka uliomalizikia tarehe hiyo, na zinakubaliana na Viwango vya Kimataifa vya Uhasibu na Sheria za Kenya za Makampuni.

Deloitte & Touche

28 Februari 2002

**Deloitte
Touche
Tohmatsu**

Partners: D M Ndonge V M Allen* G K Fonderson** H Gadhoke* S O Onyango J W Wangai
British* Liberian**

Maandishi yaliyopo hapo juu ni tafsiri ya kiswahili ya "Taarifa ya Wakaguzi kwa Wenyehisa wa National Industrial Credit Bank Limited" inayoonekana kwenye ukurasa wa 17 wa taarifa hii. Iwapo patatokea ubishi wowote katika ufafanuzi wa Taarifa ya Wakaguzi, tafsiri ya Kiingereza ndiyo itakayo tambulika kama inayofaa.

The text set out above is a Kiswahili translation of the "Report of the Auditors to the members of National Industrial Credit Bank Limited" which appears on page 17 of this report. In the event of any dispute over the interpretation of the Report of the Auditors, the English version shall be the authoritative version.

income statement

for the year ended 31 December 2001

	Note	2001 Sh '000	2000 Sh '000
INTEREST INCOME	3	1,027,699	1,151,863
INTEREST EXPENSE	4	(278,317)	(337,195)
NET INTEREST INCOME		749,382	814,668
Fees and commission income		50,762	50,789
Foreign exchange trading income		14,267	18,878
Other operating income		39,993	43,023
Dividend income		-	13,313
OPERATING INCOME		854,404	940,671
Operating expenses	5	(406,967)	(376,547)
Bad and doubtful debts expense	14	(70,397)	(112,959)
PROFIT BEFORE TAXATION		377,040	451,165
TAXATION	7	(123,206)	(138,576)
PROFIT FOR THE YEAR		253,834	312,589
		Sh	Sh
EARNINGS PER SHARE	8	3.08	3.79
DIVIDENDS PER SHARE	9	1.60	1.80

balance sheet

31 December 2001

	Note	2001 Sh '000	2000 Sh '000
ASSETS			
Cash and balances with Central Bank of Kenya	10	860,851	716,994
Government securities	11	2,191,059	1,500,082
Deposits and balances due from banking institutions	12	497,253	590,572
Advances to customers	13	4,106,125	3,940,359
Corporate bonds	15	135,000	-
Other debtors and prepayments		140,284	140,917
Taxation recoverable		-	41,238
Investment in subsidiary companies	16	50,501	50,501
Property and equipment	17	408,636	448,447
Intangible assets	18	18,136	13,383
TOTAL ASSETS		8,407,845	7,442,493
LIABILITIES			
Customer deposits	19	5,570,985	4,702,952
Interest payable		34,438	32,961
Line of credit	20	172,327	229,798
Other liabilities		126,945	83,567
Balances due to banking institutions		108	30
Taxation payable		1,427	-
Unclaimed dividends		16,254	13,042
Due to subsidiary company		42,026	42,026
Deferred tax liability	21	34,591	41,862
TOTAL LIABILITIES		5,999,101	5,146,238
CAPITAL RESOURCES			
Share capital	22	412,073	412,073
Share premium		299,943	299,943
Revaluation reserve		145,825	151,186
Revenue reserve		1,468,489	1,346,518
Proposed dividend		82,414	86,535
SHAREHOLDERS' FUNDS		2,408,744	2,296,255
TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS		8,407,845	7,442,493

The financial statements on pages 19 to 36 were approved by the board of directors on 27 February 2002 and were signed on its behalf by:

Directors: N Muriuki Mugwandia
M N Davidson
R A Bird

Secretary: L Murage

statement of changes in equity

for the year ended 31 December 2001

	Note	Share capital Sh '000	Share premium Sh '000	Revaluation reserve Sh '000	Revenue reserve Sh '000	Proposed dividend Sh '000	Total Sh '000
At 1 January 2000		412,073	299,943	147,423	1,182,275	86,535	2,128,249
Deferred tax	7(c)	-	-	3,763	-	-	3,763
Profit for the year		-	-	-	312,589	-	312,589
Final dividend 1999 paid	9	-	-	-	-	(86,535)	(86,535)
Interim dividend 2000 paid	9	-	-	-	(61,811)	-	(61,811)
Proposed final dividend 2000	9	-	-	-	(86,535)	86,535	-
At 31 December 2000		412,073	299,943	151,186	1,346,518	86,535	2,296,255
At 1 January 2001		412,073	299,943	151,186	1,346,518	86,535	2,296,255
Deferred tax	7(c)	-	-	4,103	-	-	4,103
Profit for the year		-	-	-	253,834	-	253,834
Final dividend 2000 paid	9	-	-	-	-	(86,535)	(86,535)
Interim dividend 2001 paid	9	-	-	-	(49,449)	-	(49,449)
Proposed final dividend 2001	9	-	-	-	(82,414)	82,414	-
Revaluation deficit		-	-	(9,464)	-	-	(9,464)
At 31 December 2001		412,073	299,943	145,825	1,468,489	82,414	2,408,744

cash flow statement

for the year ended 31 December 2001

	Note	2001 Sh '000	2000 Sh '000
CASH GENERATED FROM OPERATIONS	23(a)	1,123,679	882,017
Taxation paid		(83,709)	(168,757)
Net cash from operating activities		1,039,970	713,260
INVESTING ACTIVITIES			
Purchase of intangible assets, property and equipment		(19,551)	(60,129)
Proceeds on sale of equipment		827	2,949
Proceeds on redemption of Government stock		-	11,000
Purchase of corporate bonds		(135,000)	-
Purchase of treasury bonds		(100,000)	-
Net cash used in investing activities		(253,724)	(46,180)
FINANCING ACTIVITIES			
Dividends paid		(132,772)	(148,346)
Net cash used in financing activities		(132,772)	(148,346)
NET INCREASE IN CASH AND CASH EQUIVALENTS	23(c)	653,474	518,734

1 ACCOUNTING POLICIES

The financial statements have been prepared in accordance with International Accounting Standards. The principal accounting policies adopted remain unchanged from the previous year and are set out below.

Basis of accounting

The company prepares its financial statements under the historical cost convention, modified to include the revaluation of certain assets.

Investment in subsidiary companies

Investment in subsidiary companies is stated at cost or at directors' valuation.

The results of the subsidiary companies have not been consolidated (see report of the directors).

Property and equipment

Property and equipment are stated at cost or as professionally revalued from time to time less accumulated depreciation.

Depreciation is calculated on a straight line basis at annual rates estimated to write off the cost or valuation of property and equipment over their expected useful lives. The rates generally in use are:

Long leasehold land	Over the unexpired period of the lease
Buildings on long leasehold land	2%
Furniture, fittings and equipment	20%
Motor vehicles	20%

Bad and doubtful debts

Specific provisions are made against advances when, in the opinion of the directors, recovery is doubtful. In addition, general provisions are maintained based on management's evaluation of the portfolios of hirers' balances, advances, and other exposures in respect of losses which, although not specifically identified, are known from experience to be present in any such portfolio.

Unearned finance charges

The provision for unearned finance charges is calculated on a basis such as to allocate charges earned to the appropriate accounting period using "the rule of 78ths".

Taxation

Current taxation is provided in the income statement on the basis of profit included therein adjusted according to the fiscal laws of Kenya.

Deferred taxation is provided using the liability method for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred taxation.

Foreign currencies

Assets and liabilities in foreign currencies are translated into Kenya shillings at rates of exchange ruling at the balance sheet date. Transactions during the year in foreign currencies are translated at rates ruling at the dates of the transactions. Exchange differences are dealt with in the income statement.

Retirement benefit costs

The bank operates a defined benefit staff pension and life assurance scheme for employees. The assets of this scheme are held in a separate trustee administered fund. The scheme is non contributory and the rate of the bank's contribution is determined by the trustees who take into account the recommendations of independent actuaries. Benefits are paid to retiring staff in accordance with the scheme rules. The cost of providing retirement benefits is assessed using the attained age method by qualified actuaries. It is intended that the scheme is valued every three years; the last valuation was as at 31 December 2000.

1 ACCOUNTING POLICIES (continued)

Retirement benefit costs (continued)

Contract staff are entitled to gratuity payment at the completion of the contract. Provision is made for gratuity in line with the contracts.

The bank makes contributions to National Social Security Fund, a statutory defined contribution pension scheme. The bank's obligations under the scheme are limited to specific contributions legislated from time to time and are currently limited to a maximum of Sh 200 per month per employee with effect from December 2001 (the maximum was Sh 80 up to November 2001).

The bank's contributions in respect of retirement benefit costs are charged to the income statement in the year to which they relate.

Computer software development costs

Generally, costs associated with developing computer software programmes are recognised as an expense incurred. However, costs that are clearly associated with an identifiable and unique product which will be controlled by the bank and has a probable benefit exceeding the cost beyond one year, are recognised as an intangible asset.

Expenditure which enhances and extends computer software programmes beyond their original specifications and lives is recognised as a capital improvement and added to the original cost of the software.

Computer software development costs recognised as assets are stated at cost less amortisation. Amortisation is calculated on a straight line basis over the estimated useful lives not exceeding a period of 5 years.

2 CENTRAL BANK OF KENYA (AMENDMENT) ACT 2000

During 2001, the Kenya Bankers' Association (KBA), on behalf of its members, filed an application in the Constitutional Court of Kenya challenging the legality of the Central Bank of Kenya (Amendment) Act 2000 (The Act), which had been passed by the Parliament with an effective date of 1 January 2001.

The court delivered its judgement on 24 January 2002 and ruled that The Act is retrospective and therefore inconsistent with the Constitution of Kenya. Following the ruling, various conflicting legal interpretations have been published.

The directors have taken legal advice in conjunction with KBA which confirms that The Act is not operational for the financial year 2001. Accordingly, the directors have prepared these financial statements on the basis of this advice.

3 INTEREST INCOME

	2001 Sh '000	2000 Sh '000
Finance charges earned	409,216	592,901
Loans and advances	377,969	378,570
Government securities	209,374	145,841
Short term deposits	18,219	34,551
Corporate bonds	12,921	-
	<u>1,027,699</u>	<u>1,151,863</u>

	2001 Sh '000	2000 Sh '000
4 INTEREST EXPENSE		
Customer deposits	258,592	322,007
Line of credit	15,442	12,367
Deposits by banks	4,283	2,821
	<u>278,317</u>	<u>337,195</u>
5 OPERATING EXPENSES		
Staff costs (note 6)	180,321	154,566
Contribution to Deposit Protection Fund	5,876	6,240
Depreciation	40,230	35,077
Amortisation of intangible assets	4,737	4,673
Directors' emoluments - Fees	2,013	1,870
- Other emoluments	27,212	26,274
Pension to past chairman	1,125	976
Auditors' remuneration	1,600	1,500
Other expenses	143,853	145,371
	<u>406,967</u>	<u>376,547</u>
6 STAFF COSTS		
Salaries and allowances	147,873	131,436
Pension contributions	11,734	11,056
Gratuity provision	3,988	3,038
NSSF contributions	138	128
Termination benefits	16,588	8,908
	<u>180,321</u>	<u>154,566</u>
The average number of employees at the bank during the year was 125 (2000 – 135).		
7 TAXATION		
(a) Taxation expense		
Income tax based on the taxable profit for the year at 30%	124,427	119,126
Under/(over) provision in prior year	1,947	(18)
	<u>126,374</u>	<u>119,108</u>
Deferred taxation (note 21)	(3,168)	19,468
	<u>123,206</u>	<u>138,576</u>
(b) Reconciliation of tax expense to the expected tax based on accounting profit		
Accounting profit before taxation	377,040	451,165
Tax at the applicable rate of 30%	113,112	135,350
Tax effect of expenses not deductible for tax	8,286	7,238
Tax effect of income not subject to tax	(139)	(3,994)
Under/(over) provision in prior year	1,947	(18)
	<u>123,206</u>	<u>138,576</u>

notes to the financial statements

(continued)

	2001 Sh '000	2000 Sh '000
7 TAXATION (continued)		
(c) Aggregate deferred tax relating to items credited to equity		
Deferred tax on depreciation	(1,263)	(1,262)
Overprovision in previous year	-	(2,501)
Deferred tax on revaluation deficit	(2,840)	-
	(4,103)	(3,763)

8 EARNINGS PER SHARE

Earnings per share is calculated based on the profit after taxation of Sh 253,834,000 (2000 – Sh 312,589,000) and the number of ordinary shares in issue during the year. The number of shares used is 82,414,551 shares (2000 – 82,414,551 shares).

Diluted earnings per share is the same as basic earnings per share.

9 DIVIDENDS

At the annual general meeting on 22 May 2002, a final dividend in respect of 2001 of Sh 1.00 per share (2000 – Sh 1.05 per share) amounting to a total of Sh 82,414,000 (2000 – Sh 86,535,000) is to be proposed. The proposed amount has been provided for in accordance with International Accounting Standard No. 10.

During the year an interim dividend of Sh 0.60 per share amounting to a total of Sh 49,449,000 was paid. The total dividend for the year is therefore Sh 1.60 per share (2000 – Sh 1.80 per share) amounting to a total of Sh 131,863,600 (2000 – Sh 148,346,000).

Payment of dividends may be subject to withholding tax at the rate of 5% for residents and 10% for non-residents.

	2001 Sh '000	2000 Sh '000
10 CASH AND BALANCES WITH CENTRAL BANK OF KENYA		
Cash on hand	53,163	52,934
Balances with Central Bank of Kenya		
- Cash ratio requirement	391,644	403,681
- Other	416,044	260,379
	860,851	716,994

The cash ratio requirement is based on the deposits as adjusted by the Central Bank of Kenya requirements. These funds are not available for the day to day operations of the bank.

	2001 Sh '000	2000 Sh '000
11 GOVERNMENT SECURITIES		
(a) Treasury bills		
Maturing within 90 days of the balance sheet date		
Face value	2,113,500	1,522,050
Less: Unearned discount	(22,441)	(21,968)
	2,091,059	1,500,082
(b) Treasury bonds		
At cost maturing in 2004	100,000	-
	2,191,059	1,500,082

11 GOVERNMENT SECURITIES (continued)

The effective interest rate on treasury bills as at 31 December 2001 was 11.2% (2000 – 13.1%) and the rate for treasury bonds was 11.9%.

12 DEPOSITS AND BALANCES DUE FROM BANKING INSTITUTIONS

	2001 Sh '000	2000 Sh '000
Balances due from banking institutions	75,857	331,572
Deposits due from banking institutions	421,396	259,000
	497,253	590,572

The effective interest rate for deposits due from banking institutions was 5.7% (2000 – 7.2%).

13 ADVANCES TO CUSTOMERS

Hirers' balances	2,428,069	2,715,809
Loans and advances to customers	2,673,694	2,423,506
	5,101,763	5,139,315
Unearned finance charges	(293,504)	(348,262)
Provision for bad and doubtful debts (Note 14)	(596,404)	(753,201)
Interest in suspense	(105,730)	(97,493)
	4,106,125	3,940,359
Analysis of gross advances by maturity:		
Maturing within one year	3,993,183	4,193,460
Over one year to three years	1,008,579	851,347
Over three years	100,001	94,508
	5,101,763	5,139,315

Analysis of gross advances by industry:

	2001 Sh '000	%	2000 Sh '000	%
Agriculture	169,081	3	164,309	3
Manufacturing	526,709	10	469,151	9
Wholesale and retail	439,578	9	565,126	11
Transport and communication	944,700	19	1,052,412	21
Real estate	68,739	1	56,951	1
Social community and personal services	1,451,459	28	1,121,304	22
Business services	902,287	18	883,798	17
Other	599,210	12	826,264	16
	5,101,763	100	5,139,315	100

The effective interest rate on loans and advances as at 31 December 2001 was 17.4% (2000 – 18.0%).

Included in net advances of Sh 4,106,125,000 (2000 – Sh 3,940,359,000) are loans and advances amounting to Sh 430,657,000 (2000 – Sh 418,657,000), net of specific provisions and interest in suspense, which have been classified as non-performing.

**14 PROVISIONS FOR AND WRITE-OFFS OF LOANS AND ADVANCES
CONSIDERED BAD AND DOUBTFUL OF RECOVERY**

	2001 Sh '000	2000 Sh '000
(a) Specific provisions		
At 1 January	702,375	621,814
Provisions made during the year	67,115	179,475
Written off	(227,194)	(98,914)
At 31 December	542,296	702,375
(b) General provisions		
At 1 January	50,826	117,342
Increase/(decrease) in provision	3,282	(66,516)
At 31 December	54,108	50,826
Total provisions at 31 December	596,404	753,201

15 CORPORATE BONDS

East African Development Bank
Floating rate note due 2006

135,000 -

The effective interest rate on the corporate bond at 31 December 2001 was 12.2%.

	2001 Sh '000	2000 Sh '000
16 INVESTMENT IN SUBSIDIARY COMPANIES		
National Industrial Credit Trustees Limited (100% shareholding) – at cost	500	500
Mercantile Finance Company Limited (100% shareholding) – at net asset value	50,000	50,000
The African Mercantile Banking Company Limited (100% shareholding) – at net asset value	1	1
	50,501	50,501

Mercantile Finance Company Limited did not trade during the year. Its activities are limited to the recovery of its non performing debts. The audited financial statements of Mercantile Finance Company Limited show no profit or loss for the year (2000 – profit of Sh 5,375,000) and a revenue reserve at 31 December 2001 of Sh nil (2000 – revenue reserve of Sh nil).

National Industrial Credit Trustees Limited functions in a trustee capacity. The audited financial statements show that the company made no profit or loss for the year (2000 – Sh nil), and the revenue reserve balance was Sh nil (2000 – Sh nil).

The African Mercantile Banking Company Limited did not trade during the year ended 31 December 2001. The audited financial statements show that the company made no profit or loss for the year and the revenue reserve balance was Sh nil (2000 – Sh nil).

17 PROPERTY AND EQUIPMENT

	Long leasehold land & building Sh '000	Furniture fittings & equipment Sh '000	Motor vehicles Sh '000	Total Sh '000
COST OR VALUATION				
At 1 January 2001	357,131	161,310	28,348	546,789
Additions	-	8,760	1,301	10,061
Disposals	-	(1,234)	(2,427)	(3,661)
Revaluation deficit	(37,131)	-	-	(37,131)
At 31 December 2001	320,000	168,836	27,222	516,058
Comprising:				
Cost	-	168,836	27,222	196,058
Valuation - 2001	320,000	-	-	320,000
	320,000	168,836	27,222	516,058
DEPRECIATION				
At 1 January 2001	20,714	66,637	10,991	98,342
Charge for the year	6,953	28,028	5,249	40,230
Eliminated on disposals	-	(1,056)	(2,427)	(3,483)
Transfer to revaluation reserve	(27,667)	-	-	(27,667)
At 31 December 2001	-	93,609	13,813	107,422
NET BOOK VALUE				
At 31 December 2001	320,000	75,227	13,409	408,636
At 31 December 2000	336,417	94,673	17,357	448,447

Included in motor vehicles and furniture, fittings and equipment are assets with a cost of Sh 36,160,122 (2000 - Sh 26,858,715) which were fully depreciated. The normal depreciation charge on these assets would have been Sh 7,232,024 (2000 - Sh 4,421,097).

The building is partly owner-occupied and partly leased out under operating leases. Although the leased out portion could be leased out separately under a finance lease, the bank has no intention of doing so since it will eventually expand to utilise the whole building. Consequently the leased out portion of the property has not been classified as an investment property.

Long leasehold land and building were revalued as at 31 December 2001 by Lloyd Masika, Registered Valuers, on an open market value basis.

At 31 December 2001, the net book value of long leasehold land and building based on original cost was Sh 135,617,000 (2000 - Sh 138,357,000).

18 INTANGIBLE ASSETS

	Computer software Sh '000
COST	
At 1 January 2001	32,681
Additions	9,490
At 31 December 2001	42,171
AMORTISATION	
At 1 January 2001	19,298
Charge for the year	4,737
At 31 December 2001	24,035
NET BOOK VALUE	
At 31 December 2001	<u>18,136</u>
At 31 December 2000	<u>13,383</u>

Included in intangible assets is computer software with a cost of Sh 16,261,435 (2000 - Sh 9,542,099) which was fully depreciated. The normal depreciation charge on these assets would have been Sh 3,252,287 (2000 - Sh 1,908,420).

	2001 Sh '000	2000 Sh '000
19 CUSTOMER DEPOSITS		
Current accounts	1,041,300	807,523
Savings accounts	467,524	595,320
Call deposits	370,217	167,071
Fixed deposits	3,691,944	3,133,038
	<u>5,570,985</u>	<u>4,702,952</u>
Analysis of customer deposits by maturity:		
Payable within 90 days	5,525,171	4,622,087
Payable after 90 days and within one year	45,714	72,605
Payable after one year	100	8,260
	<u>5,570,985</u>	<u>4,702,952</u>

The effective interest rate on interest bearing customer deposits at 31 December 2001 was 7.2% (2000 - 6.6%).

20 LINE OF CREDIT

The bank has an unsecured revolving medium term line of credit of US\$ 10,000,000 with Agence Francaise De Development/PROPARCO for on-lending to customers. As at 31 December 2001, the draw down was US\$ 2,187,000 (2000 - US\$ 2,948,000).

The effective interest rate on the line of credit as at 31 December 2001 was 6.4% (2000 - 8.1%).

	2001 Sh '000	2000 Sh '000
21 DEFERRED TAX LIABILITY		
The net deferred tax liability, computed at the enacted rate of 30%, is attributable to the following items:		
Intangible assets, property and equipment	(4,492)	(2,308)
General provision for bad and doubtful loans and advances	(16,232)	(15,248)
Revaluation surplus	55,315	59,418
	34,591	41,862
Movement in deferred tax liability is as follows:		
At 1 January	41,862	26,157
Income statement (credit)/charge	(3,168)	19,468
Revaluation reserve credit	(4,103)	(3,763)
At 31 December	34,591	41,862
22 SHARE CAPITAL		
Authorised, issued and fully paid 82,414,551 ordinary shares of Sh 5 each	412,073	412,073
23 NOTES TO THE CASH FLOW STATEMENT		
(a) Reconciliation of profit before taxation to cash generated from operations		
Profit before taxation	377,040	451,165
Depreciation	40,230	35,077
Amortisation	4,737	4,673
Profit on sale of equipment	(649)	(1,097)
Decrease/(increase) in balances with Central Bank of Kenya (cash ratio requirement)	12,037	(4,776)
(Increase)/decrease in advances to customers	(165,766)	342,802
Decrease/(increase) in other debtors and prepayments	633	(26,758)
Increase in customer deposits	868,033	21,905
Increase/(decrease) in interest payable	1,477	(25,167)
(Decrease)/increase in line of credit	(57,471)	83,938
Increase in other liabilities	43,378	255
Cash generated from operations	1,123,679	882,017
(b) Analysis of balances of cash and cash equivalents as shown in the balance sheet and notes		
Cash on hand	53,163	52,934
Balance with Central Bank of Kenya	416,044	260,379
Treasury bills	2,091,059	1,500,082
Deposits and balances due from banking institutions	497,253	590,572
Balances due to banking institutions	(108)	(30)
	3,057,411	2,403,937

notes to the financial statements

(continued)

23 NOTES TO THE CASH FLOW STATEMENT (continued)

(b) Analysis of balances of cash and cash equivalents as shown in the balance sheet and notes (continued)

For the purposes of the cash flow statement, cash equivalents include short term liquid investments which are readily convertible into known amounts of cash and which were within three months of maturity when acquired, less advances from banks repayable within three months from the dates of the advances.

	2001 Sh '000	2000 Sh '000
(c) Changes in cash and cash equivalents during the year		
At 31 December	3,057,411	2,403,937
At 1 January	2,403,937	1,885,203
Net increase in cash and cash equivalents	653,474	518,734

24 CONTINGENT LIABILITIES

Letters of credit	102,430	108,825
Letters of guarantee and performance bonds	473,284	336,768
Foreign exchange forward contracts	3,970	-
	579,684	445,593

Letters of credit are commitments by the bank to make payments to third parties, on production of documents, on behalf of customers and are reimbursed by customers.

Letters of guarantee and performance bonds are issued by the bank, on behalf of customers, to guarantee performance by a customer to third parties. The bank will only be required to meet these obligations in the event of default by the customer.

Foreign exchange forward contracts are agreements to buy or sell a specified quantity of foreign currency, usually on a specified future date at an agreed rate.

	2001 Sh '000	2000 Sh '000
25 CAPITAL COMMITMENTS		
Authorised but not contracted for	10,000	15,000

The board is considering replacing the computer system at an estimated cost of Sh 90 million. The expenditure will require specific board approval once a suitable system is identified.

26 RETIREMENT BENEFIT OBLIGATIONS

The pension scheme is actuarially valued every three years using the 'attained age method'. The value placed on existing fund assets per the actuarial valuation carried as at 31 December 2000 was Sh 76,254,000 while the total accrued (past service) liabilities was Sh 55,171,000. The scheme therefore has a past service actuarial surplus of Sh 21,083,000. This asset has not been recognised in the financial statements. The trustees of the scheme and the bank are considering various different options for the treatment of the actuarial surplus in consultation with the actuary.

The principal actuarial assumptions were:

Rate of interest	10%
Rate of salary escalation	8%
Rate of pensions increase	0%

27 SEGMENTAL REPORTING

The major part of the business of the bank falls under the category of banking with other income comprising less than 5% of total income and all the bank's income is derived in Kenya. Segmental reporting is, therefore, not considered of any useful value.

28 LIQUIDITY RISK

The table below analyses assets and liabilities into relevant maturity groupings based on the remaining period at 31 December 2001 to the contractual maturity date.

	Up to 1 month Sh '000	1 - 3 months Sh '000	4 - 6 months Sh '000	7 - 12 months Sh '000	1 - 3 years Sh '000	4 - 5 years Sh '000	Over 5 years Sh '000	Total Sh '000
ASSETS								
Cash and balances with Central Bank of Kenya	860,851	-	-	-	-	-	-	860,851
Government securities	1,316,679	774,380	-	-	100,000	-	-	2,191,059
Deposits and balances due from banking institutions	497,253	-	-	-	-	-	-	497,253
Advances to customers	1,843,660	382,254	352,392	520,364	916,586	85,045	5,824	4,106,125
Corporate bonds	-	-	15,000	15,000	60,000	45,000	-	135,000
Other debtors and prepayments	140,284	-	-	-	-	-	-	140,284
Investment in subsidiary companies	-	-	-	-	-	-	50,501	50,501
Property and equipment	-	-	-	-	-	-	408,636	408,636
Intangible assets	-	-	-	-	-	-	18,136	18,136
Total assets	4,658,727	1,156,634	367,392	535,364	1,076,586	130,045	483,097	8,407,845
LIABILITIES AND SHAREHOLDERS' FUNDS								
Customer deposits	1,879,041	3,646,130	22,482	23,232	100	-	-	5,570,985
Interest payable	34,438	-	-	-	-	-	-	34,438
Line of credit	564	19,376	19,376	38,751	50,272	43,988	-	172,327
Other liabilities	126,945	-	-	-	-	-	-	126,945
Balances due to banking institutions	108	-	-	-	-	-	-	108
Taxation payable	1,427	-	-	-	-	-	-	1,427
Unclaimed dividends	16,254	-	-	-	-	-	-	16,254
Due to subsidiary company	-	-	-	42,026	-	-	-	42,026
Deferred tax liability	-	-	-	-	-	-	34,591	34,591
Shareholders' funds	-	-	-	-	-	-	2,408,744	2,408,744
Total liabilities and shareholders' funds	2,058,777	3,665,506	41,858	104,009	50,372	43,988	2,443,335	8,407,845
Net liquidity gap	2,599,950	(2,508,872)	325,534	431,355	1,026,214	86,057	(1,960,238)	-
At 31 December 2000								
Total assets	4,240,684	1,104,994	294,318	502,372	709,079	70,990	520,056	7,442,493
Total liabilities and shareholders' funds	3,146,591	1,618,126	68,153	91,718	102,743	74,880	2,340,282	7,442,493
Net liquidity gap	1,094,093	(513,132)	226,165	410,654	606,336	(3,890)	(1,820,226)	-

29 INTEREST RATE RISK

The bank is exposed to various risks associated with the effects of fluctuations in the prevailing levels of market interest rates on its financial position and cash flows. The table below summarises the exposure to interest rate risk. Included in the table are the bank's assets and liabilities at carrying amounts, categorised by the earlier of contractual repricing or maturity dates. The bank does not bear an interest rate risk on off balance sheet items.

	Up to 1 month Sh '000	1 - 3 months Sh '000	4 - 6 months Sh '000	7 - 12 months Sh '000	1 - 3 years Sh '000	Over 3 years Sh '000	Non-interest bearing Sh '000	Total Sh '000
Cash and balances with Central Bank of Kenya	-	-	-	-	-	-	860,851	860,851
Government securities	1,316,679	774,380	-	-	100,000	-	-	2,191,059
Deposits and balances due from banking institutions	496,834	-	-	-	-	-	419	497,253
Advances to customers	4,010,529	95,596	-	-	-	-	-	4,106,125
Corporate bonds	-	-	15,000	15,000	60,000	45,000	-	135,000
Other debtors and prepayments	-	-	-	-	-	-	140,284	140,284
Investment in subsidiary companies	-	-	-	-	-	-	50,501	50,501
Property and equipment	-	-	-	-	-	-	408,636	408,636
Intangible assets	-	-	-	-	-	-	18,136	18,136
Total assets	5,824,042	869,976	15,000	15,000	160,000	45,000	1,478,827	8,407,845
LIABILITIES AND SHAREHOLDERS' FUNDS								
Customer deposits	1,879,041	3,646,130	22,482	23,232	100	-	-	5,570,985
Interest payable	-	-	-	-	-	-	34,438	34,438
Line of credit	564	19,376	19,376	38,751	50,272	43,988	-	172,327
Other liabilities	-	-	-	-	-	-	126,945	126,945
Balances due to banking institutions	108	-	-	-	-	-	-	108
Taxation payable	-	-	-	-	-	-	1,427	1,427
Unclaimed dividends	-	-	-	-	-	-	16,254	16,254
Due to subsidiary company	-	-	-	-	-	-	42,026	42,026
Deferred tax liability	-	-	-	-	-	-	34,591	34,591
Shareholders' funds	-	-	-	-	-	-	2,408,744	2,408,744
Total liabilities and shareholders' funds	1,879,713	3,665,506	41,858	61,983	50,372	43,988	2,664,425	8,407,845
Interest rate sensitivity gap	3,944,329	(2,795,530)	(26,858)	(46,983)	109,628	1,012	(1,185,598)	-
At 31 December 2000								
Total assets	5,154,532	860,135	-	-	-	-	1,427,826	7,442,493
Total liabilities and shareholders' funds	3,071,615	1,563,532	68,153	49,692	102,743	77,045	2,509,713	7,442,493
Interest rate sensitivity gap	2,082,917	(703,397)	(68,153)	(49,692)	(102,743)	(77,045)	(1,081,887)	-

30 CURRENCY RISK

The bank operates wholly within Kenya and its assets and liabilities are reported in the local currency.

The bank's currency risk is managed within the Central Bank of Kenya exposure guideline of 20% core capital. The bank's management monitors foreign currency exposure on a daily basis.

The bank's currency position is as follows:

ASSETS	SH Sh '000	USD Sh '000	GBP Sh '000	EURO Sh '000	OTHERS Sh '000	TOTAL Sh '000
Cash and balances with Central Bank of Kenya	855,826	4,434	591	-	-	860,851
Government securities	2,191,059	-	-	-	-	2,191,059
Deposits and balances due from banking institutions	172,420	303,763	12,814	6,824	1,432	497,253
Advances to customers	3,490,409	615,708	8	-	-	4,106,125
Corporate bonds	135,000	-	-	-	-	135,000
Other debtors and prepayments	117,573	834	21,877	-	-	140,284
Investment in subsidiary companies	50,501	-	-	-	-	50,501
Property and equipment	408,636	-	-	-	-	408,636
Intangible assets	18,136	-	-	-	-	18,136
Total assets	7,439,560	924,739	35,290	6,824	1,432	8,407,845
LIABILITIES AND SHAREHOLDERS' FUNDS						
Customer deposits	4,775,574	756,676	33,175	5,560	-	5,570,985
Interest payable	33,431	907	68	32	-	34,438
Line of credit	-	172,327	-	-	-	172,327
Other liabilities	126,584	361	-	-	-	126,945
Balances due to banking institutions	-	-	108	-	-	108
Tax payable	1,427	-	-	-	-	1,427
Unclaimed dividends	16,254	-	-	-	-	16,254
Due to subsidiary company	42,026	-	-	-	-	42,026
Deferred tax liability	34,591	-	-	-	-	34,591
Shareholders' funds	2,408,744	-	-	-	-	2,408,744
Total liabilities and shareholders' funds	7,438,631	930,271	33,351	5,592	-	8,407,845
Net balance sheet position	929	(5,532)	1,939	1,232	1,432	-

31 RELATED PARTY TRANSACTIONS

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions.

Placings are made in the bank by directors, their associates and companies with common directors. Customer deposits at 31 December 2001 include deposits from directors, their associates and companies with common directors of Sh 1,798,382,000 (2000 – Sh 1,522,275,000).

Advances to customers at 31 December 2001 include advances and loans to companies with common directors of Sh 19,553,000 (2000 – Sh 89,541,000) and loans to employees of Sh 95,482,000 (2000 – Sh 95,677,000). These loans are performing and are fully secured.

Contingent liabilities at 31 December 2001 include guarantees and letters of credit for companies with common directors of Sh 82,697,000 (2000 – Sh 91,132,000).

All transactions with related parties are at arms length in the normal course of business, and on terms and conditions similar to those applicable to other customers.

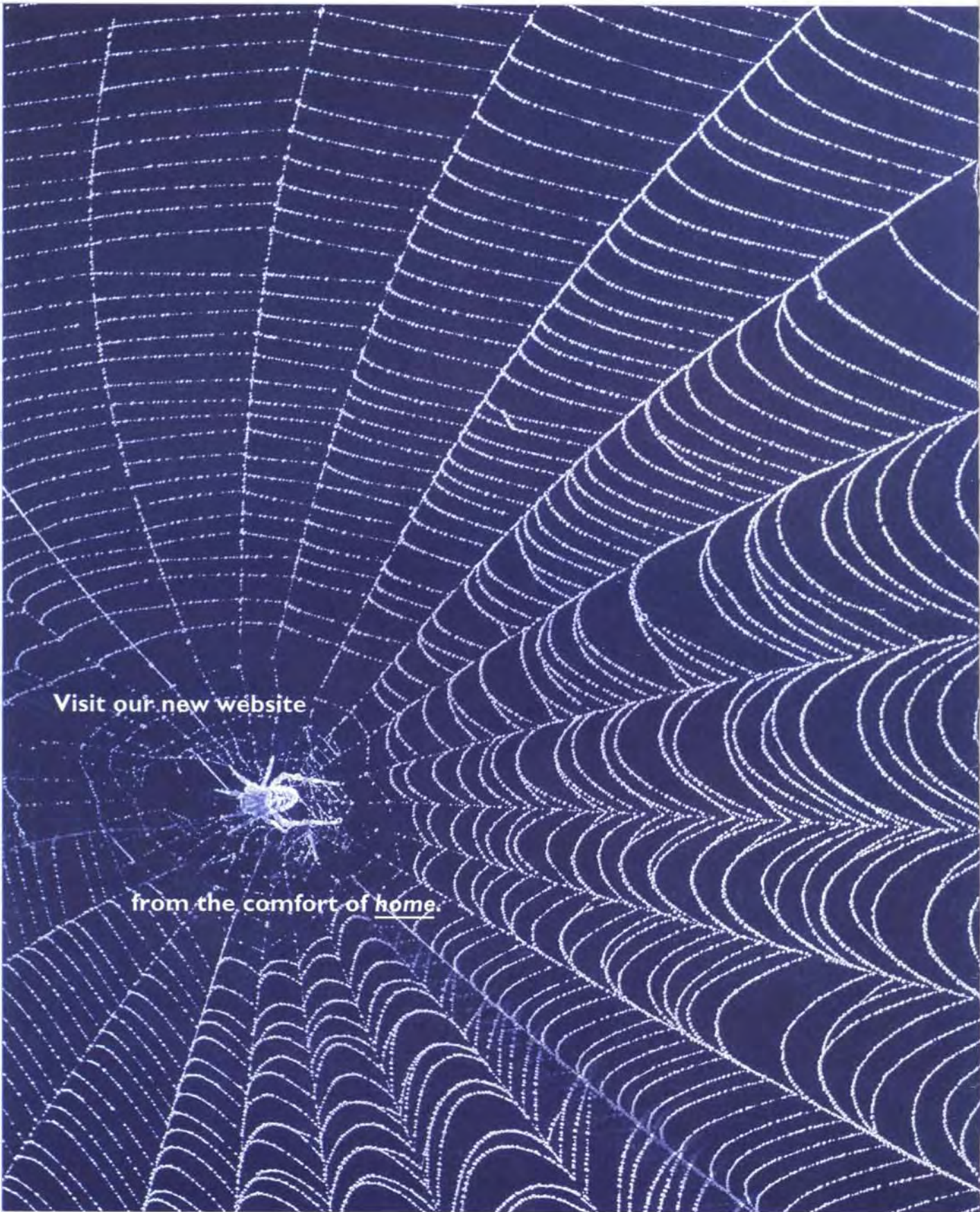
32 COUNTRY OF INCORPORATION

The company is incorporated in Kenya under the Companies Act.

33 CURRENCY

The financial statements are presented in Kenya Shillings thousands (Sh'000).

YEAR	FINANCE PROVIDED Sh '000	PROFIT BEFORE TAXATION Sh '000	TAXATION Sh '000	DIVIDENDS DECLARED Sh '000	FUNDS RETAINED Sh '000	SHARE HOLDERS' FUNDS Sh '000
1960	15,812	(670)	-	-	(670)	3,330
1970	42,088	5,604	2,190	3,310	1,040	8,970
1980	249,908	25,745	11,788	6,750	7,208	38,150
1990	1,428,641	60,307	26,721	14,063	19,523	131,631
1991	1,600,090	83,580	34,965	17,578	31,037	162,036
1992	1,874,043	132,413	43,394	24,610	64,409	226,445
1993	2,203,193	287,126	101,825	61,523	123,778	420,970
1994	3,276,132	339,616	167,507	61,523	110,586	530,676
1995	4,571,954	545,737	218,950	98,437	228,350	759,026
1996	5,588,952	578,907	226,895	98,877	253,135	1,011,722
1997	5,777,216	590,164	191,603	131,864	266,697	1,707,774
1998	4,752,449	435,558	145,945	115,381	174,232	1,886,614
1999	4,283,161	461,569	160,746	148,346	152,477	2,128,249
2000	3,940,359	451,165	138,576	148,346	164,243	2,296,255
2001	4,106,125	377,040	123,206	131,863	121,971	2,408,744

A large, detailed illustration of a spider web. The web features a central spiral and a series of concentric circles. A spider is positioned in the center of the spiral. The background is a dark blue, and the web lines are a lighter blue.

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The Secretary,
National Industrial Credit Bank Limited,
NIC House,
Masaba Road,
P O Box 44599,
Nairobi.

PROXY

I/We _____

of _____

being a member/members of National Industrial Credit Bank Limited, and
entitled to _____

votes hereby appoint _____

of _____

or failing him _____

of _____

as my/our Proxy to vote for me/us on my/our behalf at the Annual General Meeting of the
company to be held on 22 May 2002 and at any adjournment thereof.

As witness my/our hand this _____ day of _____ 2002.

Signature(s) of

NOTE:

In case of a Corporation, the Proxy must be made under it's Common Seal.

Katibu,
National Industrial Credit Bank Limited,
NIC House,
Masaba Road,
P O Box 44599,
Nairobi.

WAKALA

Mimi/Sisi _____

wa anuani hii _____

nikiwa mwanachama/tukiwa wanachama wa National Industrial Credit Bank Limited, na
nikiwa/tukiwa na haki ya kura _____

namchagua/twamchagua _____

wa sanduku la posta _____

na akiwa hatapata nafasi nimechagua/tumechagua _____

wa sanduku la posta _____

akiwa mwakilishi wangu/wetu kunipigia/kutupigia kura kwa niaba yangu/yetu katika Mkutano
wa Mwaka wa Kampuni utakaofanyika tarehe 22 Mei 2002 au tarehe yoyote iwapo mkutano
utahairishwa. Nashuhudia/twashuhudia kwa mkono/mikono wangu/yetu siku hii ya
tarehe _____ mwezi wa _____ 2002.

Sahihi

ELEWA:

Mwakala akiwa anaiwakilisha kampuni yoyote au shirika nilazima atumie muhuri rasmi wa
Kampuni hiyo (Common Seal).



NATIONAL INDUSTRIAL CREDIT BANK LIMITED

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City Centre Branch

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Harbour House Branch

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